

WITHOUT PREJUDICE · Settlement offer, Miller / Granthorne Logistics Ltd**Karen Westwood** <k.westwood@granthorne.co.uk>

Thu, 28 May 2026 at 17:18 BST

to me, cc Acas Conciliator

to: Leah Miller <leah.miller@gmail.com>

cc: H. Tahir, Acas Conciliator <conciliation@acas.gov.uk>

ref: Acas R263214/26/98 · Granthorne ref: GR-COT3-2026-007

Dear Leah,

This email is sent on a strictly without prejudice basis, save as to costs. It is intended to be inadmissible in any tribunal or court proceedings save for the limited purpose of recording the basis of a settlement, in accordance with the principles in *Rush & Tompkins v GLC* [1989] AC 1280 and section 111A of the Employment Rights Act 1996.

Further to the Acas-conciliated discussions over the past two weeks, I am pleased to set out the Company's formal settlement offer in respect of all matters arising from your employment with Granthorne Logistics Ltd and its termination. For the avoidance of doubt, this offer is made on the COT3 basis: settlement under section 203(2)(e) of the Employment Rights Act 1996, recorded and concluded by the Acas conciliator. It is not, and is not intended to be, a "settlement agreement" within the meaning of section 203(3) of that Act, and accordingly the statutory independent-legal-advice requirements that apply to settlement agreements do not apply here.

Proposed terms of settlement

1. **Settlement payment of £4,450 gross** (equivalent to one calendar month's basic salary), to be paid within fourteen (14) days of an Acas COT3 being signed by both parties, by BACS to the account you nominate. This payment is in full and final settlement of all claims arising from your employment and its termination, including (without limitation) unfair dismissal, automatic unfair dismissal, breach of contract, unauthorised deductions, and any claim under the Equality Act 2010.
2. **Statutory redundancy pay of £2,253 (tax-free)** will be paid in any event and forms no part of the settlement consideration. For the avoidance of doubt, and consistent with the HR Director's letter of 04 March 2026, you will remain in employment throughout your contractual notice period (04 March 2026 to 04 June 2026 inclusive) on Garden Leave in accordance with clause 19 of your Contract of Employment. Your full Basic Salary will be paid through the normal monthly Granthorne payroll runs in March, April, May and June 2026, subject to PAYE and NIC as ordinary earnings under sections 62 and 7 of the Income Tax (Earnings and Pensions) Act 2003. Accrued but untaken holiday will be paid in your final June 2026 salary on the same basis. No payment in lieu of notice (PILON) is being offered or made; accordingly, no PENP calculation under section 402D ITEPA 2003 arises, and there is no early termination of employment that would alter the section 401 ITEPA position above.
3. **A mutually-agreed neutral reference**, in the form attached to the COT3, to be given to any prospective employer or recruitment agency that approaches the Company in respect of you within the next twenty-four (24) months. The Company will not depart from the agreed form save in response to a specific factual question.

4. **Standard mutual confidentiality and non-derogatory undertakings**, with the usual carve-outs for legal, regulatory and family disclosure. For the avoidance of doubt, nothing in the proposed COT3 would prevent you from making any protected disclosure within the meaning of section 43A of the Employment Rights Act 1996.

Tax treatment of the proposed payments

Both the £4,450 settlement payment at paragraph 1 and the £2,253 statutory redundancy pay at paragraph 2 are “relevant termination payments” within the meaning of section 401 of the Income Tax (Earnings and Pensions) Act 2003. They are aggregated against the single £30,000 tax-free threshold set by section 403 ITEPA 2003. On the present figures the aggregate is £4,450 + £2,253 = £6,703, which is comfortably below the £30,000 cap. Accordingly both payments are received free of income tax. For the avoidance of doubt, the SRP does consume £2,253 of the £30,000 aggregate headroom; there simply remains ample headroom for the £4,450 settlement payment to sit within it.

Pay during notice (Garden Leave) and accrued but untaken holiday pay will be taxed in the normal way under PAYE / NIC as ordinary earnings (sections 62 and 7 ITEPA 2003), and do not engage the section 401 exemption.

No part of the settlement payment is referable to a restrictive covenant, and accordingly no part of it is treated as earnings by virtue of section 225 ITEPA 2003.

This offer is open for acceptance for seven (7) calendar days from the date of this email. If accepted, the terms would be recorded in an Acas COT3 agreement to be drafted by the Acas conciliator and signed by both parties. If the offer is not accepted within that period, it lapses and the conciliation will (subject to your further instructions to Acas) be concluded.

We do consider this to be a fair and pragmatic resolution. The Acas conciliator has indicated that the offer is within the range of likely tribunal outcomes once the issues that would arise on both sides at any final hearing are taken into account.

As above, because the proposed settlement is concluded through Acas under section 203(2)(e) ERA 1996, you are not required to take independent legal advice in order for the COT3 to be binding. You are of course free to do so at your own cost; the Acas conciliator can also walk you through the practical effect of the terms.

Kind regards,
Karen

Karen Westwood

HR Director, Granthorne Logistics Ltd
Granthorne House, 200 Trafford Park Road, Manchester M17 1QY
D +44 (0)161 873 4413 · granthorne.co.uk

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